

no. Most people spend reflexively. As more money comes in, more money goes out in the never-ending quest for bigger and better. This is known as the hedonic treadmill. Considering the marginal utility of wealth challenges you to question this impulsive behavior and break this wealth-destroying cycle.

Understanding the marginal utility of wealth is vital to determining how frugal you can and should be. You should not be frugal to meet someone else's standards or to win a frugality contest. You should consider whether your spending truly improves your happiness. If it doesn't, maybe it's time to start investing that money to build a life that will.

The FI community runs the gamut from those who embrace extreme frugality as a virtue to those who are in the "Fat FIRE" camp and don't mind spending money on the finer things in life. The beauty of FI is that you have the freedom to determine your own values and build a plan that is consistent with those values. Many of us reject traditional labels—frugal, minimalist, or retired. You may like to spend money more than others. You may find value in owning objects that others think are pointless. You may want to work for reasons other than money. All of these things are your choice.